Tenets of the Warren Buffett Way

Business Tenets

Is the business simple and understandable?

Does the business have a consistent operating history?

Does the business have favorable long-term prospects?

Management Tenets

Is management rational?

Is management candid with its shareholders?

Does management resist the institutional imperative?

Financial Tenets

Focus on return on equity, not earnings per share.

Calculate "owner earnings."

Look for companies with high profit margins.

For every dollar retained, make sure the company has created at least one dollar of market value.

Market Tenets

What is the value of the business?

Can the business be purchased at a significant discount to its value?

Simple and Understandable

In Buffett's view, investors' financial success is correlated to how well they understand their investment. This is a distinguishing trait that separates investors with a business orientation from most hit-and-run types—people who are constantly buying and selling.

Over the years, Buffett has owned a vast array of businesses in many different industries. Some of these companies he controlled; in others, he was or is a minority shareholder. But he is acutely aware of how all these businesses operate. He understands the revenues, expenses, cash flows, labor relations, pricing flexibility, and capital allocation needs of every single one of Berkshire's holdings.